CITY OF SOLANA BEACH

MEASURE C

(This Measure will appear on the ballot in the following form.)

MEASURE C

To provide general city services such as keeping beaches, parks, trails, and restrooms safe, clean and well-maintained; preventing trash from entering local beaches/lagoons; upgrading emergency response/safety facilities, shall City of Solana Beach's measure updating the 20-year-old transient occupancy tax (paid only by hotel/short-term vacation rental guests as specified in ordinance) and increasing the rate by 1% be adopted, providing approximately $250,000 annually until ended by voters, with all money locally controlled?

This measure requires Simple Majority (50%+1) of those voting on the measure.

CITY ATTORNEY'S IMPARTIAL ANALYSIS

The Solana Beach City Council placed Measure C on the ballot. If approved, Measure C would increase the City of Solana Beach's ("City") existing transient occupancy tax ("TOT") and would modernize certain TOT provisions. The TOT is only paid by persons staying at a hotel or other lodging who are defined as "Transients" by existing law. "Operator" collects the TOT from transients on the City's behalf. TOT revenue collected by the operator is then remitted to the City. Measure C also addresses recent market changes.

Currently, the City charges a 13% TOT. If approved, this Measure would increase the TOT rate by 1% for a total of 14% and would generate an estimated $250,000 per year in additional revenue. The Measure's 1% increase is a "general tax." Thus, revenue generated by the Measure is unrestricted and may be used for any general governmental purpose of the City.

Under the Measure, "Hotel" is broadly defined by the TOT ordinance to include any structure occupied or intended or designed for occupancy by transients (30 days or less) like hotels, inns, tourist homes, and short-term rentals.

The TOT paid is calculated based upon "rent" that is charged by operators. This Measure defines "Rent" to include cleaning fees, resort fees, parking fees, pet fees, extra guest fees, cancellation charges, WIFI/Internet charges, and any other fees, rates and charges as part of the total "rent" charged, but excludes fees, rates and charges not collected directly.

This Measure also modernizes the TOT ordinance so that, if a web- or application-based hosting platform, online travel company, or third-party booking vendor that facilitates rentals and payments for rentals is used, the hosting platform, online travel company, or third-party booking vendor is considered an agent of the operator for the purposes of collecting and remitting the TOT to the City.

This Measure also makes provisions of state law applicable within the City's jurisdictional boundaries. Government Code Section 50990 et seq. allows the City to access certain records of short-term rental facilitators and to audit the receipt of transient occupancy tax due and payable to the City in certain circumstances.

A "yes" vote favors the Measure. A "no" vote opposes the Measure. This Measure requires a simple majority of votes in favor to pass (50% + 1).

The above statement is an impartial analysis of the Measure. If you desire a copy of the Measure, please call the City of Solana Beach's City Clerk's Office at (858) 720-2420 and a copy will be mailed at no cost to you.

JOHANNA N. CANLAS
City Attorney
City of Solana Beach

ARGUMENT IN FAVOR OF MEASURE C

It seems every list of "Top Ten Best Places to Live" and "Beach Towns Not to Miss" includes Solana Beach. While it's home to us, it's a destination to more and more visitors each year.

More visitors mean more wear on our parks, beaches and trails, and more demand on our public safety services.

Solana Beach has not increased the Transient Occupancy Tax (TOT) percentage in nearly 20 years. Measure C increases the TOT on hotel and short-term lodging stays by 1%, which is paid for entirely by visitors and tourists who stay in Solana Beach hotels and short term lodging. **It is not a tax on Solana Beach residents or property owners.** Only visitors who rent a hotel room or a short term vacation rental pay TOT.

Measure C will help the City keep lifeguards on our beaches, keep public restrooms clean and well-maintained, prevent trash from reaching our beaches and lagoons, and upgrade life-saving emergency equipment.

Every dollar raised by Measure C stays here in Solana Beach. It is not shared with the Federal, State, or County governments. By law, these funds are spent here, on the facilities and essential services we all rely on. We're asking for visitors to help pay for what they use.

Measure C revenue is accountable to you. It is subject to annual independent financial audits and public spending reports, so residents can see exactly how this visitor tax is being used.

Join our unanimous Solana Beach City Council, local hotel owners, the Solana Beach Chamber of Commerce, small business owners, lifeguards, and your neighbors in voting **YES on Measure C**.

For more information, visit www.CityofSolanaBeach.CA.gov

AMY BRYAN
Doctor of Audiology, 20 year resident Co-founder Solana Beach Free Farmers Market

TOM GOLICH
Former Solana Beach Mayor 60 year resident

GREGORY PETRE
Co-Chair Solana Beach Chamber of Commerce Board of Directors 47 year resident

JOHN STEEL
President, Condominium Organizations of South Sierra Avenue 20 year resident

RICH VILLASENOR
Owner Solana Frosty Fourth generation Solana Beach resident